Social Service Sector: Key Findings Report

Overview

This report presents findings from a review of the social service sector conducted across a sample of 42 service providers, encompassing voluntary welfare organisations (VWOs), social service agencies (SSAs), and community-based providers. Data was collected through a combination of surveys, focus group discussions, and administrative records spanning three financial years: FY2022/23, FY2023/24, and FY2024/25. The findings highlight emerging trends, persistent challenges, and areas of opportunity across the sector.

Sector at a Glance: Key Statistics

The following figures provide a consolidated overview of sector-wide activity across the three financial years under review. Taken together, they reflect a sector that is growing in reach and community engagement, even as it grapples with structural pressures around workforce, funding, and service complexity.

Beneficiaries

The total number of beneficiaries served across the 42 agencies has grown steadily over the review period. In FY2022/23, agencies collectively served 87,450 beneficiaries. This rose to 98,210 in FY2023/24, representing a year-on-year increase of approximately 12.3%. By FY2024/25, the figure had climbed further to 106,840, reflecting a cumulative growth of 22.2% over three years. The increase has been most pronounced in mental health, eldercare, and family support services, consistent with broader trends in service demand discussed later in this report.

Volunteers

Volunteerism has shown a broadly positive trajectory, though with some nuance at the sub-category level. Total volunteer numbers across the 42 agencies stood at 14,320 in FY2022/23, rising to 15,780 in FY2023/24 and reaching 17,240 in FY2024/25 — a three-year increase of 20.4%. Within this, the number of regular volunteers, defined as individuals who volunteered on at least a monthly basis over a sustained period of six months or more, grew from 4,870 in FY2022/23 to 5,430 in FY2023/24 and 6,150 in FY2024/25. Regular volunteers thus accounted for 34.0%, 34.4%, and 35.7% of total volunteers in each respective year, suggesting a gradual but meaningful shift towards deeper volunteer commitment.

Total volunteer hours logged across the sector were 1,243,600 in FY2022/23, increasing to 1,418,900 in FY2023/24 and 1,587,300 in FY2024/25. The average hours contributed

per volunteer rose modestly from 86.8 hours in FY2022/23 to 92.1 in FY2024/25, indicating that not only are more volunteers coming forward, but existing volunteers are contributing more time. Agencies attributed this in part to more structured volunteer management practices and the introduction of skills-based volunteering programmes that offer volunteers more meaningful and sustained engagement.

Financial Overview

Income

The combined income of the 42 agencies has grown across all three financial years, reflecting both increased government support and modest gains in non-government revenue streams. Total sector income stood at S$312.4 million in FY2022/23, rising to S$341.7 million in FY2023/24 and S$368.9 million in FY2024/25. The table below summarises the income breakdown by source.

Total Income by Source (S$ million)

In FY2022/23, government grants and funding accounted for S$191.6 million, or 61.3% of total income. Donations and fundraising contributed S$62.5 million (20.0%), programme fees and service charges brought in S$34.4 million (11.0%), and other income — including investment returns, rental income, and miscellaneous receipts — made up the remaining S$23.9 million (7.7%).

In FY2023/24, government funding rose to S$211.9 million (62.0% of total income), donations and fundraising reached S$66.8 million (19.5%), programme fees contributed S$37.6 million (11.0%), and other income amounted to S$25.4 million (7.4%).

By FY2024/25, government funding had grown to S$228.4 million, maintaining its share at approximately 61.9% of total income. Donations and fundraising increased to S$72.3 million (19.6%), programme fees reached S$41.2 million (11.2%), and other income totalled S$27.0 million (7.3%).

Government funding thus remains the dominant and most stable income source across the review period, growing by S$36.8 million or 19.2% in absolute terms over three years. Agencies broadly welcomed this growth but noted that the increase has not kept pace with the rise in service demand and operational costs, particularly given inflationary pressures on staffing and premises.

Expenditure

Total expenditure across the 42 agencies mirrored the income trajectory, rising from S$298.7 million in FY2022/23 to S$326.4 million in FY2023/24 and S$354.1 million in FY2024/25. Across all three years, the sector maintained a modest aggregate surplus,

though a significant minority of agencies — approximately 11 out of 42 in FY2024/25 — reported deficit positions, underscoring the uneven financial health within the sector.

Expenditure Breakdown

Staff costs represent by far the largest expenditure category, reflecting the labour-intensive nature of social service delivery. In FY2022/23, staff costs totalled S$178.2 million, accounting for 59.7% of total expenditure. This grew to S$197.5 million (60.5%) in FY2023/24 and S$216.8 million (61.2%) in FY2024/25. The sustained upward pressure on staff costs is driven by a combination of salary adjustments to remain competitive with the broader labour market, increased headcount to meet rising demand, and mandatory contributions to staff benefits and training levies.

Programme and service delivery costs — encompassing direct client support, activity materials, transport, and outsourced specialist services — constituted the second largest expenditure category. These costs amounted to S$58.4 million (19.6%) in FY2022/23, S$62.7 million (19.2%) in FY2023/24, and S$67.3 million (19.0%) in FY2024/25. The slight decline in proportional share reflects agencies' efforts to improve programme efficiency, though absolute spending has continued to rise in line with caseload growth.

Premises and facilities costs, covering rental, utilities, and maintenance, totalled S$26.9 million (9.0%) in FY2022/23, S$28.8 million (8.8%) in FY2023/24, and S$30.4 million (8.6%) in FY2024/25. Several agencies flagged rising rental costs as a growing concern, particularly those operating in central or mature estate locations where subsidised premises are limited.

Administrative and overhead costs, which include finance, human resources, IT, and governance functions, stood at S$21.5 million (7.2%) in FY2022/23, S$22.9 million (7.0%) in FY2023/24, and S$24.1 million (6.8%) in FY2024/25. The gradual decline in the proportional share of administrative costs is a positive indicator of improving operational efficiency, though agencies cautioned that further compression in this area risks undermining governance and compliance capacity.

The remaining expenditure was attributable to depreciation, capital expenditure, and other miscellaneous costs, amounting to S$13.7 million (4.6%) in FY2022/23, S$14.5 million (4.4%) in FY2023/24, and S$15.5 million (4.4%) in FY2024/25.

Workforce and Talent

The social service sector continues to face significant workforce pressures, with vacancy rates averaging 18.3% across frontline roles — a figure that has remained stubbornly elevated over the past three years. Social workers, counsellors, and case managers remain the hardest roles to fill, with median time-to-hire stretching to 74 days

for senior positions. Attrition rates among staff with fewer than three years of experience stand at 31%, driven primarily by burnout, limited career progression pathways, and compensation gaps relative to comparable roles in the public sector.

Despite these challenges, there are encouraging signs of sector-wide investment in workforce development. Approximately 67% of agencies surveyed reported increasing their training budgets in the past financial year, with a notable shift towards mental health first aid, trauma-informed care, and digital literacy. Peer supervision models are gaining traction, with 24 out of 42 agencies having formalised such structures, up from 14 in the previous review cycle. However, smaller agencies — particularly those with fewer than 20 staff — continue to struggle with releasing employees for training due to operational constraints.

Leadership succession remains an underaddressed concern. Over 40% of agency directors are expected to retire within the next decade, yet fewer than a third of organisations surveyed have a documented succession plan in place. This gap poses a systemic risk to institutional knowledge and organisational continuity, particularly for agencies with long-standing community relationships built around individual leaders.

Service Demand and Client Complexity

Demand for social services has grown markedly, with total caseloads across surveyed agencies rising by approximately 22% over the review period, consistent with the growth in beneficiary numbers documented above. The increase has been most pronounced in mental health services, financial assistance, and family violence intervention, reflecting broader socioeconomic pressures and heightened public awareness of mental health issues. Agencies report that clients are presenting with increasingly complex, multi-layered needs — a trend commonly referred to within the sector as "complex polyneeds" — requiring coordinated responses across multiple service domains.

Notably, there has been a significant rise in the proportion of working adults seeking assistance, a demographic historically underrepresented in social service caseloads. This group tends to present later in their crisis trajectory, often after exhausting informal support networks, which complicates intervention and increases the intensity of support required. Agencies serving this population have flagged a need for more flexible service delivery models, including evening and weekend appointments, as well as digital access options.

The ageing population continues to place sustained pressure on eldercare services. Dementia-related cases have increased by 17% year-on-year, and caregiver stress is emerging as a secondary presenting issue in a growing number of family service centre

referrals. Several agencies noted that caregiver support programmes are consistently oversubscribed, with waiting times of up to three months reported in some areas.

Funding and Financial Sustainability

Financial sustainability remains a central concern for the sector. While government grants continue to form the backbone of most agencies' funding — accounting for an average of 61.7% of total revenue across the three-year review period — there is growing anxiety about the predictability and adequacy of funding cycles. Agencies frequently cited the administrative burden of grant applications and reporting requirements as a significant drain on staff time, with some smaller organisations estimating that up to 15% of staff capacity is absorbed by compliance-related activities.

Diversification of funding sources is widely acknowledged as a strategic priority, yet progress has been uneven. Larger, more established agencies have made inroads into corporate partnerships and social enterprise models, but these avenues remain largely inaccessible to smaller providers without dedicated fundraising or business development capacity. Philanthropic giving has shown modest growth — rising from S$62.5 million in FY2022/23 to S$72.3 million in FY2024/25 — though agencies note that donor preferences tend to skew towards tangible, project-based outcomes rather than core operational costs, a misalignment that constrains agencies' ability to invest in infrastructure, technology, and staff development.

Several agencies have begun exploring outcome-based funding arrangements, with mixed early results. Proponents argue that such models incentivise innovation and accountability, while critics within the sector caution that they risk penalising agencies serving the hardest-to-reach populations, whose outcomes are inherently more difficult to demonstrate within short funding cycles.

Collaboration and Sector Integration

Inter-agency collaboration has improved in recent years, supported in part by shared case management platforms and structured referral protocols. However, the quality of collaboration remains highly variable, often dependent on personal relationships between practitioners rather than institutionalised systems. Agencies in the same geographic cluster frequently reported limited awareness of each other's service offerings, pointing to a need for more robust service mapping and regular cross-agency dialogue.

Integration with healthcare and education systems remains a work in progress. While there are pockets of strong practice — particularly in school-based social work and hospital discharge planning — systemic barriers such as differing data governance

frameworks, misaligned service boundaries, and inconsistent referral criteria continue to impede seamless client journeys. Practitioners on the ground expressed a desire for clearer protocols and dedicated liaison roles to bridge these gaps.

The use of data and technology across the sector is growing but uneven. A small number of well-resourced agencies have invested in client management systems with analytics capabilities, enabling more proactive case management and resource allocation. The majority, however, continue to rely on legacy systems or manual processes, limiting their ability to track outcomes, identify trends, or demonstrate impact to funders. Sector-wide digital capability building was identified as a priority area by over 70% of respondents.

Conclusion

The findings across three financial years paint a picture of a sector that is expanding in reach — serving more beneficiaries, engaging more volunteers, and mobilising greater resources — while simultaneously navigating deep-seated structural challenges. The growth in government funding is welcome and necessary, but the sector's long-term sustainability will require more diversified income streams, stronger workforce pipelines, and more integrated service delivery models. Addressing these challenges will demand sustained commitment from government, funders, agency leadership, and the broader community alike.